TECH TALES OF TOMORROW

Here's a vision of 2050 that we'd all like to see

Pre-COVID, GDP growth rates were set to make some very significant changes by 2050. While China has already overtaken the US on GDP in terms of purchasing power parity (PPP), many feel this is only because China artificially deflates the Yuan and keeps prices low inside china, which skews figures.

A layman's understanding of PPP (and we're as laymen as laymen can get when it comes to economics) is to consider the GDP of a nation, look at it in terms of what one could buy with so much money in that nation, and then compare it to the same thing when done for another nation. One simple way to do this is to look at the price of common items that everyday people buy, and then extrapolate from there. Note: PPP measurements are a lot more complex, but we're sticking to the layman explanation.

Let's say a burger and a coke cost ₹150 in india from a standard restaurant that's frequented by the middle class. Now, that same burger and coke might cost $4 in the US, which is about ₹300 at the current exchange rate. That means, when measuring GDP in PPP terms, India would only need to have half the GDP of US in order to tie with it for GDP in terms of PPP.

ENTANGLEMENT

We threw that explanation in there to explain why the US has a much higher market exchange rate GDP (GDP-MER) than China, but China has already overtaken it in GDP-PPP terms. The way things stand, researchers from Pricewaterhouse-Coopers (PwC) have concluded that by 2050 China will be the clear leader in GDP, and India will edge out the US in GDP-PPP to finish as the world's second largest economy.

This is if things continue as is. Whereas we're reimagining the world without China being a part of the world trade organisation. In that case, some interesting things happen...

India: The world's largest economy by 2040 itself, India overtakes the US far sooner because of all the gaps China left that it was able to fill. India will also lead the way in many fields, becoming the first to set a human on the surface of Mars in 2043. The ISRO-SpaceX collaboration resulted in Womankind's first steps on the red planet, as the all woman team of Russian, Indian and Japanese astronauts set up a base on Mars. India leads the world in not just medicine and medical research, but agriculture, engineering and patents as well.

US: The US turned more and more insular with successive conservative governments that led to the brain drain of the country. Many companies moved headquarters to South-East Asia in an attempt to be a part of the hotbed that was the Silicon Hills. The US did excel at livestock farming and also in the farming of soy, corn and wheat. It also led the market in robotics, a specialisation that almost every engineering graduate in the US is drawn to. They lead the world in manufacture and design of humanoid robots and are on the brink of finally making a robot pass for a human.

EU: After the UK rejoined the EU in 2038, the EU jumped up two places in the GDP rankings. The EU has become the world's holiday destination thanks to the relaxing of all rules and regulations surrounding recreational drugs. The EU has also earned the title of the World's Wine Cellar, as almost 95% of all wine drunk in the world is manufactured within their borders.

Indonesia: Indonesia was set to become the India of 2010 by 2050. A rise in population that's mostly young, a stark increase in education and a willingness to work hard, plus a huge wealth of natural resources is

> **The structural changes undertaken in recent years will help transform the Indian economy over the next decade and maintain growth at strong levels. Despite a challenging global environment, India benefits from demography, an aspirational middle-class, and recent economic reforms that give it a constructive outlook over the coming decade**
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> – Kaushik Das, DB Bank Report
> https://dgit.in/imagine2030